

credentials. They could just as easily be PR or marketing professionals with vested interests in shaping these decisions.

Were any counterarguments presented? No.

Dismissing such claims outright without a thorough investigation, however, would not align with responsible journalism. Instead, the Electronics For You team—Nijhum Rudra, Nitisha Dubey, and Yashasvini Razdan—consulted industry sources. To ensure an unbiased approach, representatives from both EMS firms and component manufacturers were interviewed, along with leaders from various trade associations, many of whom represent both sectors.

- The obvious: the level of automation differs across manufacturing of components and EMS firms. Not every firm (EMS or components) has the same degree of automation. More automation means less employment per investment (or turnover).

- Just as there are product categories which require more labour in EMS, there are categories of components (such as passives) which require a high degree of manual labour.

- On average, component manufacturers can hire three to five times more labour than an EMS firm of the equivalent size!

- Since many functions in EMS firms can be non-skilled, the percentage of contractual labour tends to be higher. Components manufacturing needs more skilled labour and, hence, these firms tend to hire employees—thus providing much longer-term employment, plus more opportunities to upskill.

- The seasonality of work, and thus seasonality in demand for labour, is more common in EMS than in components manufacturing.

- Components manufacturing

can be set up in rural areas too, while EMS firms are better suited for urban settings.

- The level of automation in EMS is exceeding that in the manufacturing of components. There is already talk about dark-room factories—ones where there are no humans on the floor. Thus, the employment-to-investment ratio will continue to drop faster in EMS than in the manufacturing of components.

Plus, there are more strategic reasons for manufacturing electronics components in India, namely: a steady supply chain and more predictability in input pricing for manufacturers of electronics. These two factors are critical to support our manufacturers of electronics in India and make India's electronics industry truly '*aatmanirbhar*' (self-reliant).

The above conclusions are all thanks to inputs shared by industry leaders representing different facets of the electronics industry of India, which are shared below (in alphabetical order with respect to the name of the organisation):

Rajesh Bhope, VP, Alcon Electronics (components): "EMS (electronic manufacturing services) companies are buying components



and then assembling them. They are, first of all, dependent upon all types of component manufacturers. If their supply chain improves, they will grow and thereby fuel the

growth of their suppliers—like the proverbial egg and chicken situation. The government must support both industries simultaneously."

Abhishek Malik, Executive Director, Calcom Vision Limited (EMS): "Yes, assembly (EMS) can create more employment; however,



it is only temporary until the government stops providing benefits. Electronic components are generally more capital-intensive and have a much longer-term outlook, thereby creating long-term employment."

Pankaj Gulati, Exec. VP & COO, CDIL (components): "There will be much more job creation in the components industry than I can see in



EMS because there hardly exists any components industry in India today. I need help finding skilled workers in the components industry."

Jairaj Srinivas – Director-General, CIMEI (trade association): "No! Labour hiring in EMS (electronics manufacturing services)